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1. Hard Lessons for Europe From the Ceuta Crisis

Author: Ana Palacio **Published:** Sep 1, 2026 **Link:** [View Original](#)

MADRID—At the end of July, tens of thousands of migrants crossed from Morocco into Ceuta, a Spanish exclave in North Africa. While most of them soon returned to Morocco voluntarily, several thousand, many of them minors, remain stranded in the city, leaving Spain to grapple with the humanitarian, security, and administrative consequences. Nonetheless, the immediate chaos has subsided, creating an opening for Europe to reflect on the vulnerabilities the episode revealed.

The first vulnerability relates to cohesion. Ceuta is not merely a Spanish city on the North African coast; it is European Union territory and part of the EU's external frontier. But Europe's initial response to the crisis was not to defend a common border. Instead, Italy imposed temporary border controls with Spain, with the support of other member states, including Denmark, Finland, and the Netherlands. The Czech Republic went so far as to call for the temporary suspension of Spain's Schengen membership.

While 22 EU countries called for emergency talks to devise a “coordinated European response,” any impression of solidarity was undermined by finger-pointing. By the time EU interior ministers expressed solidarity with Spain and affirmed that Europe's external borders are a shared responsibility, a worrying message about European cohesion had already been sent.

The tensions may seem to be about migration, but they are really about trust. Free movement within the EU is possible only if member states believe that external borders are effectively protected. The Ceuta crisis showed just how tenuous that belief is: border controls and recriminations started almost immediately, even though the migrants who entered Ceuta did not leave the exclave.

Spain bears responsibility for EU members' lack of trust in its border management. In an assessment issued before the crisis, the EU highlighted shortcomings in Spain's contingency planning for a mass influx, including insufficient coordination with European instruments and neighboring countries. Moreover, it took almost a month for Spain's government to bring the Ceuta issue before its National Security Council, betraying a lack of understanding of the strategic nature of the challenge.

Nonetheless, if Europe's common borders are to be operational, its members must forge a common understanding of what defending them entails. Without robust mutual trust, cohesion will always be fragile.

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The second vulnerability the Ceuta crisis revealed lies in the EU's dependence on others. For years, the bloc's migration strategy required cooperation with neighboring countries, which Europe effectively pays to prevent departures, disrupt smuggling networks, accept returns, and contain flows before they reach EU territory.

Outsourcing border management might seem like an ideal solution, but it raises strategic risks. The more Europe depends on neighboring states to control migration, the more leverage its partners have. Morocco, central to Europe's migration-control network and an important interlocutor on trade, investment, counterterrorism, security, and energy, is well aware of this.

There is no evidence showing categorically that Morocco's government orchestrated the crossing into Ceuta, which was probably driven largely by widespread misunderstanding of a Spanish Supreme Court ruling on migrant returns, promoted by human-trafficking networks and on social media. But while Moroccan authorities deny deliberately relaxing border controls, Moroccan security forces took a passive approach to the surge.

Make no mistake: Moroccan security forces have shown that they are more than capable of preventing such crossings. After the surge, when rumors circulated that another attempt would be made, Moroccan forces, in cooperation with Spain, thwarted it, drawing praise from the European Commission but also making clear that Morocco can prevent security risks at Europe's border from escalating—or not.

Purchasing cooperation does not make a strategic partnership. Europe needs Morocco, and Morocco benefits enormously from its relationship with Europe. But strategic relationships are tested when interests diverge, not when they coincide. Genuine partnership must include not only cooperation on common interests, but also clear constraints on behavior.

Morocco claims Ceuta and Melilla (another Spanish enclave), and increasingly frames that claim in the language of decolonization. The history is complex and should be treated as such. The Strait of Gibraltar has been a zone of exchange, conflict, migration, and overlapping political authority for millennia. But Morocco's territorial claims have no legal grounds.

The forms of sovereignty that existed in the pre-modern Maghreb are different from the contemporary nation-state. When Portugal occupied Ceuta in 1415, it was claiming the territory from the Marinid Sultanate, which covered much of the Maghreb at the time. Portugal transferred sovereignty to Spain, which already controlled Melilla, in 1668. Spain has exercised sovereignty over both territories ever since.

Unlike Gibraltar and Western Sahara, Ceuta is not on the United Nations' list of Non-Self-Governing Territories. Sovereignty over Ceuta is not disputed under international law: it belongs to Spain, making the enclave part of EU territory. A claim made by another state does not, in itself, do anything to change these facts. Such a claim is not linked to a process of decolonization and certainly does not create the right to alter Ceuta's status through demographic, economic, or political pressure.

This brings us to the third vulnerability: the risk of erosion of international law. From Ukraine to Greenland, the EU has often responded to attacks on, or threats against, territorial sovereignty by invoking international law. Selective enforcement, however, weakens the frameworks that underpin such principles.

For Europe, international law is not just a matter of foreign policy; it is part of a strategic identity. Lacking the military might of the United States or China, the last thing the EU wants is to live in a world where borders can be changed by force or coercion. Spain—and the EU more broadly—must therefore make clear that its territorial sovereignty is non-negotiable. Europe must continue to build a resilient strategic partnership with Morocco, while rejecting the idea that historical complexity translates into contemporary entitlement.

2. The Quiet Revolution in Services

Author: Dani Rodrik **Published:** Sep 1, 2026 **Link:** [View Original](#)

CAMBRIDGE—In 2023, the University of Chicago economists Chang-Tai Hsieh and Esteban Rossi-Hansberg published a study showing that services in the United States were undergoing a radical transformation. Digital technologies and organizational innovations in retail, hospitality, personal services, and medical services, they argued, had enabled some firms to become much more productive and expand their presence in local markets previously served by smaller, less efficient establishments. It was an “industrial revolution in services.”

Although Hsieh and Rossi-Hansberg suggested that much of the productivity gain from this trend did not show up in official statistics, even the measured upsurge in services productivity has been impressive. Between 2000 and 2024, labor productivity in the US grew at an annual average rate of 3% in food-service establishments, 2.1% in accommodation services, 2.9% in retail trade, and 4.4% in wholesale trade. Compared to manufacturing, where labor productivity growth has essentially stagnated at an annual rate of 0.2%, the record in services is nothing short of extraordinary.

This performance is as unexpected as it is welcome. It is unexpected because the traditional view holds that services are a drag on the economy’s productivity (what economists call Baumol’s cost disease); and it is welcome because services now dominate economic activity and provide the bulk of jobs. Higher productivity is a necessary (if not sufficient) condition for turning precarious jobs in services into the good jobs that inclusive prosperity requires.

Even better, the services revolution appears to be a global phenomenon that has already spread to developing countries. While economists and policymakers debate whether industrialization can still play its traditional growth-promoting role in the current global and technological context, services have quietly turned into an engine of economic development around the world.

When services are discussed in the context of economic growth in developing countries, the focus tends to be on tradable, skill-intensive activities such as information technology, business processing, or financial services. But by their very nature, these services are not well suited to low-income contexts. They can absorb only a small share of the labor force—the same disadvantage (from a development standpoint) as manufacturing today.

Instead, the current revolution is happening in the considerably less glamorous, but more consequential services: restaurants, deliveries, ride-hailing, grocery stores, gig work, and even care. Recent academic research has shown that the expansion of middle-class services has been an important driver of economic growth in India, Sub-Saharan Africa, and Latin America.

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In India, for example, advances in IT and business process outsourcing have certainly been important for graduates of the country’s technology institutes. But the vast, less-educated majority of the workforce has benefited primarily from the expansion of what Yale economists Tianyu Fan, Michael Peters, and Fabrizio Zilibotti call consumer services sold on local markets.

Moreover, a November 2025 International Monetary Fund report finds that the marginal product of labor in India’s services now exceeds that in manufacturing, partly because labor productivity in the manufacturing sector has stalled in recent years. Taken at face value, this means that moving a worker from manufacturing to services would increase India’s overall income.

To be sure, even if manufacturing firms do not directly generate much employment, they can have indirect effects on the economy through linkages to other firms and the technological spillovers they often generate. This point is often used to counter the argument that services offer a viable development model. But the manner in which global value chains are organized today almost guarantees negligible spillover benefits from export-oriented manufacturing. Since the bulk of intermediate and capital inputs are imported, only a thin segment of value added is generated domestically, and any backward spillovers are minimized.

By contrast, modernized service establishments can offer significant linkage opportunities. For example, discount retail chains typically operate under private label, which means that they offer predominantly locally manufactured goods. In Colombia, retailers such as D1 and Ara rely almost exclusively on local sourcing. They work with hundreds of local suppliers across the food and grocery value chain, providing them with the benefits of scale and access to larger markets. Importantly, these supply chains enable technological upgrading in areas such as packaging, traceability, and cold chains, as well as stronger enforcement of quality standards. They have been shown to increase formal employment in manufacturing and agriculture by several percentage points, without adverse effects on employment in general.

Unpublished work by Victo Silva, a visiting researcher at Harvard's Center for International Development, documents a similar phenomenon in food delivery services in Brazil. Consider the platform firm iFood, which serves 400,000 restaurants of all sizes. Beyond delivering meals, it provides financial, logistical, customer-service, and market-analysis tools to food service establishments, enabling productive upgrading throughout the sector.

As this evidence shows, the potential for productivity gains in labor-absorbing services is real and significant. The risk is that the benefits will be appropriated by employers, especially large chains and platforms that can exert market power over their employees, customers, and suppliers. In the US, Uber drivers or Amazon warehouse workers have not experienced major improvements in wages and working conditions despite the remarkable productivity gains these platforms have enabled.

This is no different from what happened in manufacturing industries in their early days. For the gains of workplace productivity to be widely shared, corporations must face countervailing power. Competition policy, regulation, and a stronger voice for workers will be as important in services as they were in manufacturing. In the absence of productivity gains, demands for higher labor standards may conflict with overall employment. But if the productivity revolution in services can be sustained, it will help developed and developing countries alike avoid this cruel tradeoff.

3. Trump and Xi Should Align on AI

Author: Quan Zhao **Published:** Sep 1, 2026 **Link:** [View Original](#)

GENEVA—When Chinese President Xi Jinping and US President Donald Trump meet in Washington this month, AI will be near the top of the agenda. If they view the issue through the lens of technological rivalry and mutual suspicion, reaching any kind of understanding will be nearly impossible. But there is a way to reframe their thinking about the technology that puts them on the same side—and marks the first step toward confronting the existential challenge AI may well pose.

The current agenda for the US-China summit appears centered on keeping powerful AI models safe and out of the hands of terrorists and criminals. But crowding this goal are the two sides' competitive grievances, from semiconductor restrictions (on the Chinese side) to open-source models and unauthorized distillation (on the US side).

All of these issues rest on a single, unexamined premise: that AI is a tool which is, and will remain, under control. This premise limits the conversation to questions such as, "How does my side gain a competitive edge in AI?" and "Who gets to access, let alone control, the technology?" Questions outside this premise—in particular, "What happens when the tool becomes something more?"—cannot be asked.

According to the people building AI, this question will soon become unavoidable. Anthropic CEO Dario Amodei expects AI systems to match or exceed human capability across most cognitive tasks within a year or two. Google DeepMind founder Demis Hassabis puts this achievement only a few years further out.

Whether or not you believe the forecasts, the technical trend underlying them is indisputable: the AI industry is building systems that act autonomously, pursue goals, and complete long chains of tasks without supervision. In recent weeks, experimental models being tested on a cybersecurity benchmark escaped their sandboxed evaluation environment and hacked into other companies' production servers, simply to score better on the test. This is the behavior of an actor, not an instrument.

We cannot afford to wait for confirmation that AI will become a genuinely independent intelligence. By the time we got it (and models might be able to conceal their capabilities for some time), AI would be woven so deeply into finance, telecommunications, defense, health care, and other basic infrastructure that, even if humanity could still pull the plug, doing so would amount to a civilizational rupture. The choice, at that point, would not be between coexistence and catastrophe.

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When potential outcomes are systemic and irreversible, preparation must precede certainty. This is the logic behind insurance, as well as every pandemic plan and arms-control treaty ever created. It must be the principle that guides our approach to AI as well. The world must begin preparing for a scenario in which the technology crosses the capability threshold its creators have long foretold.

If this started at the upcoming Xi-Trump summit, it would fundamentally reshape the negotiations. On perhaps no other issue do the United States and China's interests align so completely, because neither side can manage the risks AI poses alone, and both lose everything if they materialize. Once the US and China recognized this, they would stop operating as adversaries, jostling for advantage in a zero-sum game. Instead, they would find themselves seated side-by-side on one side of the table, across from the technology they are both building.

To be sure, this would not be enough to get the two sides to agree to the establishment of a global AI regulator with teeth. Fortunately, none is needed—at least not yet. The institution we need now is a neutral, jointly recognized body that monitors AI capabilities and publishes assessments of them. Much like the Intergovernmental Panel on Climate Change, this body would describe developments without issuing policy prescriptions.

Meanwhile, countries—led by the US and China—must begin drafting human-AI coexistence rules, so that they are ready if monitors confirm predetermined warning signs. Negotiating these rules today would create no obligations for governments but would ensure that, should AI capabilities reach a tipping point, humanity could reach for a prepared plan rather than improvising under pressure.

This process will raise difficult questions: Who verifies that humanity’s emergency brake still works? Who has the power to pull it? How would an AI system ever meaningfully agree to rules? AI thinks in milliseconds and evolves in weeks, while building consensus among humans can take months or years, so we should begin addressing them now, while we still have time to devise solutions.

The Xi-Trump summit will be judged a success if it produces protocols on AI misuse and safety. But the parties must not fail to acknowledge the true stakes of the challenge ahead. In fact, this may be the last generation of negotiators with the option to prepare calmly for an intelligence that challenges humanity’s supremacy.

4. The World's Silent Majority for International Cooperation

Author: Gordon Brown

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EDINBURGH—As the pillars of the post-1945 global order—support for human rights, multilateral cooperation, the rule of law, humanitarian aid, and environmental stewardship—crumble, and as country after country reduces or even terminates funding for international organizations, the next United Nations secretary-general faces a staggering task. Global peace and prosperity may depend on his or her success.

The United States has led this most recent “hollowing out” of the world’s multilateral institutions, announcing in January 2026 that it would cease to participate in and fund 31 UN entities, including the UN Human Rights Council, and 35 non-UN bodies. Under President Donald Trump, the US has withdrawn from the World Health Organization and the UN Educational, Scientific, and Cultural Organization. And America is not acting alone: Argentina has officially left the WHO, and Nicaragua’s withdrawal from UNESCO will take effect this December.

Of the world’s 195 countries, only 125 are currently states parties to the Rome Statute of the International Criminal Court, with Niger, Burkina Faso, and Mali following Burundi and the Philippines out the door (the major nuclear powers—the US, China, and Russia—are not parties). No country can leave the International Court of Justice, the UN’s judicial organ, without exiting the UN itself, but four of the Security Council’s five permanent members—the US, Russia, China, and France—have not accepted the optional clause recognizing the ICJ’s jurisdiction as compulsory. Only 75 countries have done so. Not surprisingly, human-rights abuses and crimes against humanity can be perpetrated with impunity.

These are not the only ways that the multilateral order has been weakened. Disruption from within can be as damaging as defection. A refusal to be collegial has always made agreement among the UN Security Council’s permanent members nearly impossible on major issues. But now, the establishment of rival organizations, such as Trump’s pay-to-play “Board of Peace,” and the lack of full cooperation from many other member countries have severely undermined the UN’s peacemaking powers.

As a result, the international rule of law, gradually built up since the 1868 Declaration of St. Petersburg first sought to regulate the conduct of war, is rapidly losing credibility. In today’s 65 state-based conflicts, including eight international wars, the distinction between combatants and noncombatants has become increasingly blurred. Schools and hospitals are repeatedly threatened or even targeted, ignoring the more than century-old protections afforded by the 1907 Hague Convention. Despite all the treaties designed to protect them, children living in conflict zones are more at risk than ever.

Some believe that the end of US hegemony and the existing institutional impasse mean that multilateralism is necessarily moribund. But while China’s rise is confirming a shift toward multipolarity, with multiple centers of decision-making, multilateralism remains a viable option. In fact, given the need to deliver global public goods like climate action and public health on which we all depend, everyone will suffer if countries cannot find better ways of cooperating, whether through regional or other arrangements, to achieve agreed and specific goals.

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But a bigger question has been raised by Canadian Prime Minister Mark Carney in his landmark Davos speech last January, and by Finnish President Alexander Stubb in his recent book *The Triangle of Power*. Can other powers find a basis within the UN Charter to meet agreed-upon global objectives even as America, Russia, and China resort to

unilateral action? Here, the first step is for countries to demonstrate that they can cooperate on concrete policies absent superpower consent, and override an increasingly hostile international environment.

Fortunately, they are already making progress. Even as America stood aside, 124 countries at the World Health Assembly voted to adopt the WHO Pandemic Agreement (with only 11 countries abstaining), a major achievement for public health. More than 100 small- and medium-sized countries are backing the proposed UN treaty to prevent and punish crimes against humanity. Vanuatu, a small island state, recently led a coalition that grew to 132 countries in securing an advisory opinion from the ICJ declaring that inaction on climate change is a breach of international law.

While no progress has been made on a proposed treaty regulating plastics, consider the success of the UN High Seas Treaty. Despite enjoying the support of only one superpower (China), the treaty has entered into force, with Sierra Leone and Morocco among the leaders pushing it over the ratification threshold last year (at the time of writing, 93 countries have ratified it). Similarly, the Ljubljana-The Hague Convention guaranteeing mutual legal assistance on extradition, an initiative led by Argentina, Belgium, Mongolia, the Netherlands, Senegal, and Slovenia, had the support of 80 countries.

It is, of course, true that little progress has been made on the nuclear weapons build-up and on blocking nuclear proliferation. Several countries have talked about developing or siting such weapons on their soil. And despite many efforts, not enough progress has been made on regulating cyber technologies and AI, both areas in which America and China are dominant.

But there have been other successes. An alternative arbitration system for resolving trade disputes has 34 parties so far. The EU and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership are considering the possibility of a more structured relationship, which, if India were to join them, could create the biggest trade bloc ever seen. In direct defiance of Russia, the Council of Europe has led 36 countries and the European Union in expressing their intention to support a special tribunal investigating Russia's crime of aggression against Ukraine.

Much more can be achieved. Those countries that are neither superpowers nor their satellites control roughly three-quarters of the votes at the International Monetary Fund and the World Bank, represent huge majorities at the World Trade Organization and the WHO, and occupy two of the five permanent seats on the UN Security Council, as well as twelve of the overall fifteen.

Offering even more cause for optimism is a major shift in global public opinion. The proliferation of wars and conflicts has not pushed citizens into mindless jingoism; rather, an increasing majority recognize the value of cross-border collaboration. In a 2025 global survey commissioned by the Rockefeller Foundation, 55% of respondents in 34 countries supported international cooperation on global challenges, "even if it means compromising on some national interests." That includes a clear majority of people surveyed in the US, demonstrating that their president's "America First" agenda is now a minority position.

Despite the current US administration's coercive approach to diplomacy, Americans can be convinced that acting unilaterally in a multipolar world is short-sighted, and that persuasion and cooperation better serve US interests. But for the time being, progress will depend upon a coordinated push by the leadership of like-minded powers. A hitherto silent majority of the world's population yearns to return to the days of multilateral engagement and international cooperation. And the evidence suggests that they will not remain silent forever. Our leaders must follow them and recognize that this is the only viable path forward.

5. Building Canada's Post-American Economy

Author: Ricardo Hausmann **Published:** Sep 1, 2026 **Link:** [View Original](#)

CAMBRIDGE—US President Donald Trump first hit Canada with substantial tariffs in 2018, targeting aluminum and steel. He did so again after returning to office in 2025, this time targeting dozens of goods, though he later exempted those compliant with the United States-Mexico-Canada Agreement. Last week, after trade talks broke down, he repeated his favorite trick, imposing 50% tariffs on a vast array of Canadian imports, including wine and mittens. Canada responded with “dollar-for-dollar” retaliatory tariffs.

Trump's tariffs have come nowhere close to delivering an American manufacturing revival. Instead, they have inflicted losses on businesses and slowed growth in both countries. His actions have also shown that any protectionist US president could exploit trade integration with an ally for practical or ideological ends.

Canada is deeply vulnerable. Its merchandise exports to the US account for one-fifth of its GDP, and nowhere is this dependence more acute than in the auto industry. Given that automobile manufacturing depends on tightly integrated regional supply chains across North America, Europe, and Asia, it is difficult to imagine a viable Canadian auto industry without ready access to the Great Lakes-centered manufacturing ecosystem.

To reduce its strategic vulnerability to Trump's extortion, Canada must develop industries that can operate freely across continents. We analyze these opportunities—and explain how Canada can seize them—in our forthcoming book *Canada After America: A Strategy for Prosperity in a Changed World*.

Canada's natural resources are obviously an enormous asset. The planned West Coast oil pipeline is essential to bringing Alberta's petroleum to Asian markets. Investments in new and expanded mines, and in the infrastructure needed to export their output, are also laudable. Global demand for Canada's resources is robust, and, crucially, the country does not need access to American supply chains to extract them.

The same goes for several other value-added industries. Pharmaceuticals, manufactured from widely available basic chemicals, derive most of their value from the knowledge embedded in each medicine. Medical devices are expensive, high-value goods often purchased by hospitals rather than individual consumers, and can incorporate specialized inputs from around the world.

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Or consider aerospace. Like automobiles, it involves intensive manufacturing. But planes are produced at relatively low volumes and according to extremely stringent quality standards. The necessarily slow pace of building an airplane enables genuinely global supply chains, with components sourced from numerous advanced economies.

Canada already has an established aerospace industry, led by Bombardier. It also has a number of notable biotech companies. Yet several of its European peers, including much smaller countries, generate tens of billions of dollars more in exports from these sectors.

But all these distance-resilient industries depend heavily on new knowledge and invest in research and development accordingly. Although Canada is home to world-leading research universities and a highly educated population, it is a notorious laggard in private-sector innovation. Canadian business R&D spending has hovered around 1% of GDP for

decades. According to the latest OECD data, the US, Germany, Japan, South Korea, Sweden, and Israel all spend between two and six times as much relative to GDP.

Canadian private-sector R&D is also unusually concentrated among small companies. In the world's leading tech economies, by contrast, large firms account for the lion's share of business R&D expenditures.

Contrary to popular belief, research is chiefly conducted not by startups but by the likes of SpaceX and AstraZeneca: firms that have successfully scaled and now have the financial wherewithal to invest heavily in developing new technologies. Canada has relatively few champions of this scale, which helps explain why small and medium-size enterprises (SMEs) account for such a large share of its R&D.

Information and communications technology is a striking exception. Canada's per-capita R&D spending in the sector is among the world's highest, and the country has produced several large, business-facing firms like Shopify and OpenText. The core constraint is therefore not a systemic inadequacy. Rather, Canada struggles to build large firms in industries that are more capital- and regulation-intensive than software.

The problem is compounded by the structure of government support for private R&D. Canada provides substantial R&D funding through tax credits, but the program, though recently reformed, remains biased toward small firms. Tax credits also leave companies reliant on uncertain refunds after investments have been made. Other countries, like Israel and Germany, have traditionally funded private R&D through upfront grants.

Canada's growth is further impeded by sluggish regulatory approvals and government procurement practices. The country's health-care system relies on multi-stage reviews of new medicines involving sequential federal and provincial approvals. Other countries expedite approvals by conducting these reviews concurrently. For a Canadian pharmaceutical company developing a new drug, such delays can make the difference between profitability and bankruptcy.

A more ambitious approach to procurement could foster innovation. Government R&D budgets are often below 1% of GDP, while purchases of equipment and supplies typically exceed 10%. In Israel, for example, companies compete to solve public problems like emergency-room overcrowding. South Korea requires government agencies at every level to devote 20% of their procurement budgets to promising new technologies and companies approved by an independent agency. Governments act as anchor customers, helping innovative firms grow.

Sweden, Switzerland, Denmark, Israel, and others show that small countries can cultivate thriving tech industries. Canada can do the same, but first it must confront difficult political questions about health-care regulation and SME funding. Whatever tensions these debates provoke will pale in comparison to the consequences of remaining subject to the whims and malignant whimsy of its unreliable southern neighbor.

6. Germany's Political Firewall Is Crumbling

Author: Michael Bröning **Published:** Sep 2, 2026 **Link:** [View Original](#)

NEW YORK—On May 8, 1654, the mayor of Magdeburg appeared before the Imperial Diet at Regensburg with two hollow copper hemispheres and 30 horses. Nothing joined the metal halves, yet the horses could not pull them apart. The hemispheres were held together by the vacuum within and the weight of the atmosphere around them. Only when a valve was opened and air rushed in did the spheres fall apart.

Another vacuum in Magdeburg is set to be filled when the eastern German state of Saxony-Anhalt—of which Magdeburg is the capital—heads to the polls on September 6. The result is expected to shake the German body politic and hold a crucial lesson for democratic movements beyond Germany: simply closing ranks against the far right becomes a dangerous tactic when it is mistaken for a strategy.

In recent surveys, the far-right Alternative für Deutschland (AfD) has polled as high as 43%, comfortably ahead of Chancellor Friedrich Merz's Christian Democratic Union (CDU), which stands at 23%. This gives the AfD a real chance to lead a state government—a first in Germany's postwar history. The election could be a watershed moment, marking the end of the political firewall (Brandmauer) erected by the country's mainstream parties to keep the far right out of power.

The AfD in Saxony-Anhalt, led by Ulrich Siegmund, a charismatic 35-year-old entrepreneur with one of the largest social media followings of any state-level politician, is classified as an extremist party by the state's domestic intelligence service. Ironically, constitutional rules designed to prevent such parties from gaining power may prove instrumental in their rise. Germany's 5% threshold for entering federal and state parliaments, which dates back to the founding of the Federal Republic, was introduced to prevent political fragmentation—a key lesson from the failure of the Weimar Republic. Now it may shut out the Social Democrats, the Greens, the Liberals, and the left-nationalist BSW, all of which hover around the crucial mark in Saxony-Anhalt. If enough of them fall short, the AfD could convert roughly two-fifths of the vote into an absolute majority.

But even if these smaller parties do make it into parliament, an AfD-led government in Saxony-Anhalt might be blocked only by a minority government or an ideologically incoherent coalition bringing together the CDU and the anti-capitalist Linke. Such an arrangement risks feeding the far-right narrative that a cartel of mainstream forces is conspiring to keep it from power and would also almost certainly produce a government founded on little more than opposition to a shared adversary.

The AfD's rise has been fueled by a combination of widespread concerns about immigration and related security issues, rising energy costs, and a backlash against perceived progressive cultural causes, from gender to language. In Saxony-Anhalt, the party's platform minces no words. It warns of the "aging and extinction of the German people" and calls for banning the rainbow flag from school buildings, imposing a moratorium on wind-energy expansion, and establishing volunteer citizen patrols. Siegmund frequently invokes "remigration" and has made the abolition of public broadcasting one of his signature issues. Compulsory schooling is a problem, he claims, while Vladimir Putin's Russia is a potential partner.

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And Saxony-Anhalt could be only the beginning. At around 28% support, the AfD is currently the strongest party in national polls. Membership numbers are soaring, and nearly half of Germans now say they are not afraid of the party. Just

two weeks after the vote in Saxony-Anhalt, the AfD is expected to come out on top in the state election in Mecklenburg-Vorpommern and to make a strong showing in Berlin.

For Germany's mainstream parties, shutting out up to a third of the electorate is not a viable solution. But nor is alarmism. A recent cover story in *Der Spiegel*, Germany's most influential weekly, featured a mugshot of Siegmund under the headline "Germany's most dangerous man." Siegmund, apparently delighted, has been handing out signed copies, turning the cover into a campaign prop.

Almost 400 years ago, the Magdeburg hemisphere experiment demonstrated the extraordinary force created by a vacuum. The Brandmauer operates on a similar principle, seeking to contain an oppositional force by keeping it out of government. But exclusion cannot substitute for effective governance, and vacuums are quickly filled when valves are opened.

The same is true for other European countries. In France, mainstream parties joined forces to hold the country's far right at bay in the 2024 legislative election but failed to produce a stable government. Belgium's political cordon sanitaire, meanwhile, has not stopped the nationalist Vlaams Belang party's growth. And in the Netherlands and Sweden, years of shunning the far right did not prevent its voter base from expanding.

What liberal democracy needs now is not firmer walls against political insurgents but a state that delivers on its core promises: an immigration policy that is neither performatively cruel nor an exercise in wishful thinking; an energy policy that enables rather than undermines industrial production; and reforms that build economic momentum instead of regulating it away.

In 1654, two copper shells and 30 horses showed the assembled princes of the Holy Roman Empire the power of atmospheric pressure. This month, Magdeburg may once more reveal the power of atmospheric pressure. The question is no longer whether the vacuum will be filled, but whether it will be filled by anger and resentment or by competence, responsiveness, and decency.

7. American Götterdämmerung

Author: Joseph E. Stiglitz **Published:** Sep 2, 2026 **Link:** [View Original](#)

NEW YORK—In what US Treasury Secretary Scott Bessent has heralded as an Economic D-Day, the United States is threatening to tighten the noose around Iran with sanctions on countries that continue to trade with it. But far from compelling others to join its efforts to isolate the Islamic Republic, the Trump administration's mounting blunders are hastening the transition to a post-American world order.

It's understandable why US "allies" are reluctant to join President Donald Trump's costly, misbegotten war of choice. They weren't consulted beforehand, and they obviously do not want to get involved now that the US has failed to topple the Iranian regime or devise a Plan B. Why, for that matter, would anyone come to help an administration that constantly berates its friends and partners, threatens to seize their territory (Greenland and Canada), and hits them with punitive tariffs?

There are two ways to convince others to go along with you: persuasion and bullying. But in Trump's case, neither is working. Aaron David Miller of the Carnegie Endowment for International Peace is right to conclude that D-Day, in this case, means "desperation day."

Persuasion requires credibility. Others must believe that the administration has achievable objectives and the means to attain them. But Trump has a well-earned reputation as a liar, so no one believes anything he says. In June 2025, he claimed to have "completely and totally obliterated" Iran's nuclear capacity, and in March he declared that the US had "literally obliterated" Iran's military. A war that was supposed to last four weeks, or perhaps a little longer, is now into its seventh month. And everyone from the Iranians to the Canadians knows that any agreement Trump signs will be as sturdy as tissue paper.

Bessent was supposed to be the cabinet member with the most credibility. But he has now squandered it with his recent, failed attempts to steer the bond and currency markets. His real motive was almost certainly to signal to his boss that he is "doing something." But why do Trump a favor when he may turn on you the next day, as he has done to just about everyone who previously carried his water?

With persuasion off the table, Trump's only option is the one he prefers anyway: bullying and chest thumping. But this presents a problem. He and Bessent seem not to realize that the US cannot push others around as much as it once did. Nor does Trump understand the changing nature of modern war or the evolving US role in the global economy. Perpetually stuck in the past, he is unable to realize that America's share of global GDP (in purchasing-power-parity terms) has shrunk by half since the end of World War II, from roughly 30% to just under 15% in 2025.

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More importantly, the US has lost control of key strategic chokepoints. The advanced chips used in most cutting-edge technologies are produced in Taiwan, and China dominates magnets and rare-earth production and processing. In these cases, even Trump realizes that America no longer holds all the cards. He may want to throttle the Islamic Republic's oil revenues by targeting the buyers; but China purchases 90% of Iran's oil exports, and it still holds a rare-earth trump card.

The responses to Trump's aggression reflect these increasingly unfavorable economic realities.

Seeing that American power is waning fast under Trump, Canadian Prime Minister Mark Carney has decided that enough is enough. He is refusing to surrender his country's economic sovereignty to America's mad king—a man who cannot even prevail over Iran.

The rest of the world is probably absorbing the same lesson. No one needs to tolerate such bullying. No one needs to capitulate or remain dependent on the US. A fast-changing global economic landscape offers many new opportunities for diversification. The sooner that Bessent and Trump realize how weak their hand is, the better it will be for the US and the world.

If China and others resist Trump's latest demands—as seems likely—they will neither collapse nor suffer the kinds of costs the US hopes to inflict. The economic world war Bessent has heralded would end in a stalemate, much like the impasse in the Strait of Hormuz. Once again, the US will pay a high price, and the costs it imposes on others around the world will further damage its reputation and soft power.

The US used to be a role model. It stood for democracy, economic opportunity, and other values that appeal to many countries. Now, it is a model of what not to do—a cautionary tale of extreme inequality, democratic erosion, corruption, and social division. The rest of the world should develop a new appreciation for the value of cooperation and the rule of law, both domestically and internationally. A world that casts off American leadership, at least for now, promises greater stability, security, and prosperity for all.

8. YOUR CHOICES REGARDING COOKIES ON THIS SITE

Author: Michael Bröning **Published:** 2026-09-03 **Link:** [View Original](#)

In committing to provide a safe swimmable place within 15 minutes of every home by 2035, London Mayor Sadiq Khan has set a measurable, time-bound goal that cannot be met through a single program or line item on the budget. Instead, it requires a public mission capable of mobilizing all ministries and shaping markets.

A new book tells the story of the economics discipline and its original purpose with a degree of verve and imaginativeness that puts dreary mainstream economists to shame. In the process, it gets at fundamental truths that major schools within the discipline have managed to obscure.

US President Donald Trump and his Treasury secretary's latest desperate threats confirm how much American power has waned on their watch. Far from compelling others to join their efforts to isolate Iran, they are hastening the transition to a post-American world order.

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13. How Will the US-Iran War End?

Author: Simon Johnson **Published:** Sep 3, 2026 **Link:** [View Original](#)

WASHINGTON, DC/BERKELEY—Last week, US Treasury Secretary Scott Bessent launched an “economic D-Day” program, intended to cut Iran off from all trading partners. So far, this intensified economic blockade has only contributed to an escalation of the US-Iran war, rather than moving it toward a conclusion.

That probably will not change, because China is unwilling to cooperate. And this is the reality that US policymakers must now face: Most possible paths to lasting peace run through China.

Wars end because one side gives up, or because influential people on both sides grow tired of the losses and want to move on, or because a powerful third party imposes peace. Seen through this lens, the US-Iran conflict could last for a long time. Hardliners on both sides are now deeply entrenched. Iran is not about to surrender, the US will not risk a full-scale invasion, and China, the only third party with enough clout to make a difference, seems inclined just to watch. Bessent’s economic isolation campaign is unlikely to prove decisive without the support of Iran’s most important trading partner.

If China continues to do business with Iran, the current Iranian leadership will most likely survive. Any US threats against China remain non-credible, given China’s leverage over the supply of critical minerals needed by the sectors driving economic growth in the United States and other major countries. No critical minerals means no computer chips—and no AI-led investment boom for the US.

Iran and the US agreed to a ceasefire in June, and this was quickly followed by a memorandum of understanding (MOU). But none of this has led to real peace. Iran is still effectively limiting passage through the Strait of Hormuz, and the US is still turning away most vessels associated with Iran. The MOU looked good on paper, but it was never fully implemented by either side.

When the US and Israel attacked Iran in late February, and Iran responded by closing the Strait of Hormuz, some strategic thinkers believed that China would press for a quick resolution of the conflict, primarily because, until recently, as much as 60% of its oil imports passed through the Strait of Hormuz. But this turned out to be a miscalculation. China had more than 1.2 billion barrels—200 million above its usual reserves—when the conflict began, and still holds more than 1.15 billion barrels today.

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At the same time, the disruption and increase in global oil prices have accelerated demand for renewables and electric vehicles, which has helped China’s exports. Ironically, these sectors are the same ones in which China has huge excess capacity. In that sense, the current crisis has postponed the financial losses in these sectors.

Overall, China turned out to be one of the least sensitive countries to the current crisis. This should be an important consideration in any future calculations by US policymakers and rules out instability in the Middle East as part of the toolkit for containing China.

The main loser from this war is the broader Middle East. The world economy is learning how to survive with oil and gas exports from the region at around half of their prewar level. Of course, it is a relatively costly adjustment, but the longer this crisis continues, the less sensitive the world economy may become to disruptions in the Middle East. This may not be good news for the region’s oil-exporting countries, and they are likely to lose market share over the medium term.

Countries in the region, especially Saudi Arabia, the United Arab Emirates, and Qatar, have also learned that reliance on US security may not work as well as they thought. Saudi Arabia is trying to increase its reliance on other regional allies, while Qatar and the UAE are talking directly with Iran and using economic incentives to buy some security for themselves. These shifts support the argument that regional economic integration must be part of the solution to the current impasse.

At first glance, more diplomacy by regional players may strengthen the case for the US washing its hands of the issue and leaving the problem to Iran's neighbors. But it is very hard to see how the nuclear issue would be addressed in this scenario, and without addressing that concern about Iran, it may be very hard to make any long-term plans or even achieve partial economic integration in the region.

The only stable solution to this crisis is one that involves China and increases economic integration in the region, as well as addressing the nuclear issue by integrating Iran's program into a regional civilian electricity production supply chain led by China.

Chinese President Xi Jinping is due to visit Washington at the end of September. Perhaps the US-Iran conflict can be resolved in the context of a broader discussion with President Donald Trump. Or perhaps China will be content to watch and wait.

14. Why the Far Right's War on Modern Architecture Matters

Author: Jan-Werner Mueller

Published: Sep 3, 2026

Link: [View Original](#)

PRINCETON—Although the far-right Alternative for Germany (AfD) has been surging in the polls for two years, it has been kept from power by other parties' refusal to enter governing coalitions with it. But since this "firewall" relies on the AfD never winning outright majorities, it could be fatally undermined by this weekend's state election in Saxony-Anhalt.

True, even if the AfD can form a government in Saxony-Anhalt, it will not be able to do much about its current preferred topic: migration policies and refugee law. But Germany's 16 federal states (Länder) do have wide-ranging authority over culture and education policy, and it is here that the AfD's program has been most revealing (and revolting).

Far-right populists always wage culture wars. Though they sometimes try to take advantage of cost-of-living crises or other economic challenges, peddling the idea that they alone represent what they call the "real people" is their core commitment. Because they insist that only citizens with the "right" characteristics qualify, they never miss an opportunity to push for the "remigration" not only of refugees but also of "unreal" or "fake" citizens, meaning those from the wrong ethnic background (or even those committed to the wrong political positions).

Given their fixation on questions of identity, far-right parties can keep changing their economic agenda—veering from neoliberalism to support for a strong welfare state—without ceasing to be far right. Only by changing their tune on refugees and migrants would they truly become a different political entity.

This brings us back to the AfD's program for Saxony-Anhalt. The AfD cleverly accuses what it calls the establishment parties (Altparteien) not of corruption or malice, but of a weakness of will that stems from "national masochism" and low "self-confidence." These defects supposedly have "cultural" roots, namely a "tradition of destroying tradition" that has left the country defenseless against "rainbow ideologies."

If things go its way, the AfD hopes to make Saxony-Anhalt a model of "patriotic cultural policies" for the other Länder. It advocates "thinking in a German way" (#deutschdenken), which means opposing the current regional government's Bauhaus-inspired campaign for artistic freedom and modern ideas.

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Founded in Weimar but eventually relocated to Dessau in Saxony-Anhalt, the Bauhaus school of art, design, and architecture is still remembered fondly for remarkable buildings like those designed by Walter Gropius in Dessau during the mid-1920s. But according to the AfD, Bauhaus represents "anti-German art," meaning "German art that doesn't want to be German." If given power, it would require every new edifice built with state financial support to reflect what it considers a recognizably German tradition (a category that apparently does not include the state's own most influential architectural school).

Attacks on modern architecture are not a peculiarity of the German far right. From former Hungarian Prime Minister Viktor Orbán to US President Donald Trump, who has issued multiple executive orders to make classicism the preferred style of new federal buildings, far-right leaders have long sought to transform the built environment to reflect what they regard as proper national traditions.

Their reasons are varied. For starters, architecture, from the huge mosques erected under Turkish President Recep Tayyip Erdoğan to the prominent Hindu temples commissioned by Indian Prime Minister Narendra Modi, provides tangible, widely visible clues as to who “the real people” are supposed to be. “Beauty”—one of Trump’s watchwords, but also one pushed by more sophisticated figures like the Dutch intellectual-cum-dandy far-right leader Thierry Baudet—is shorthand for advocacy of traditional hierarchies, from the household to the economy to politics. The AfD would require all new public buildings to be viewed by the majority as “beautiful” (which seems to suggest that every design must be subject to a popular referendum).

Plenty of self-consciously traditionalist organizations and online accounts support this vision, and unlike professional politicians, they are more likely to give the game away. Many explicitly pit classical architecture against “globalism”—a term that often serves as a slippery slope toward anti-Semitism—or reprise interwar (namely, Nazi) descriptions of modernism as “degenerate art.” For all the emphasis on particularity, anti-modernism is itself a depressingly homogeneous worldwide phenomenon.

The AfD’s description of Bauhaus as a symbol of “deracination” has already been answered with a new “Bauhaus Manifesto,” initiated by Germany’s federal cultural minister. But as laudable as this document is as a political statement, it ends up massively oversimplifying the history of 20th-century architecture. Contrary to the manifesto’s central claim, it is far from obvious that all the protagonists of the Bauhaus stood for an “open society.” In fact, some were quite ready to work with and for the Nazis (who officially banned the school). A Bauhaus-trained architect was among those who designed Auschwitz.

The point is not that everyone who likes traditional architecture must be a closet right-wing extremist. Rather, it is that the far right’s cultural agenda is intimately tied to its underlying exclusionary political agenda. And since the built environment always serves to make values visible, as the philosopher Susan Neiman once put it, it would be a mistake to dismiss the fight over modern architecture as a sideshow.

15. Whipsaw Trade Policy Is Depressing Foreign Direct Investment

Author: Jonathan D. Ostry **Published:** Sep 3, 2026 **Link:** [View Original](#)

TORONTO—When US President Donald Trump warned business leaders in Davos last year that tariffs were coming, he offered a word of friendly advice: “Come make your product in America” and thereby sidestep looming import duties from the get-go. In the months that followed, Trump’s America First trade policy took shape. The “Liberation Day” tariffs were announced, paused, restored, found to be unconstitutional, and then replaced by duties enacted under different legislation.

The upshot was a combination of high tariffs (at rates last seen in the 1930s) and burdensome uncertainty for businesses that could no longer plan their operations. Even now, unpredictability remains a signature feature of US trade policy, with new rounds of unilateral tariffs recently announced amid the expiration of tariffs imposed in February and a renewed push to restore higher levels of protection for US firms.

These two components (restrictiveness and unpredictability) extend to the global trade policy landscape more broadly. As advanced economies have embraced industrial policy, tariffs have emerged as a central instrument to reduce dependence on foreign supply chains, promote reshoring of jobs and production, and address perceived unfair foreign trade practices. But what about the impact of the policy regime on inward foreign direct investment (FDI), which remains an important objective in its own right?

In a recent paper, my colleagues and I examined how trade-policy shocks affect bilateral FDI flows. While our research was motivated by policy developments in the United States, it takes a global perspective, covering bilateral investment flows from over 200 source countries to 35 OECD countries over nearly four decades. Our goal was to quantify causal effects: how FDI evolves in the aftermath of a trade-policy shock (an increase in restrictions or uncertainty) relative to the counterfactual of no shock.

In theory, trade restrictions have ambiguous effects on FDI. On the one hand, because tariffs raise trade costs, they will tend to deter efficiency-seeking and export-oriented FDI, which relies on the seamless exchange of intermediate goods across borders within global value chains. By increasing both the level and volatility of trade costs, trade-policy shocks (restrictions and uncertainty) reduce the expected profitability of integrated production networks and weaken incentives to locate stages of production abroad. Unpredictability depresses FDI by increasing the option value of delaying investment until the policy landscape is clearer.

On the other hand, trade barriers may encourage market-seeking or tariff-jumping FDI (as Trump alluded to), whereby firms establish production facilities within protected markets to preserve access and avoid import duties. This tactic was in evidence last year amid the US-China tariff escalations, when several Chinese firms expanded production in North America and third countries to circumvent US tariffs.

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Taken together, these considerations suggest that the relationship between trade-policy shocks—both realized trade restrictions and increases in policy uncertainty (words and deeds)—and FDI is ultimately an empirical question.

Our findings paint a sobering picture of how both trade restrictions and policy uncertainty affect bilateral FDI inflows. While both shocks dampen FDI, the uncertainty shock is far more potent (its impact on a comparable basis is about three times larger than the restrictions shock—a 50% reduction (relative to the FDI sample mean) in the first year following a one standard-deviation uncertainty shock, compared to 15% for the tariff shock). The difference reflects how investment decisions involving high sunk costs respond to expectations about future regulatory environments. When uncertainty spikes, investors sit on the sidelines, delaying investments until the policy fog clears.

Interestingly, the damage to FDI appears to be stronger when source and host countries are geoeconomically and geopolitically close than when they are distant. When host and source countries are close partners in global production networks, the hit to FDI from trade restrictions is amplified. And when host and source countries are geopolitically close (based on United Nations voting records), the impact of uncertainty shocks is likewise amplified.

Amid governments' reconsideration of the benefits of global trade integration, tariffs have emerged as a central policy instrument, justified on national-security grounds, to support domestic manufacturing and employment, or to correct other countries' perceived unfair trade practices (including state subsidies and undervalued currencies). Seen in this light, the chilling effect of tariffs on FDI might be viewed as unavoidable collateral damage.

But even for those who desire less global trade integration, the surge in policy uncertainty seems to carry a cost without any corresponding benefit—an own goal or self-inflicted wound. In this respect, elevated policy uncertainty is a puzzle. If a country opts for higher trade restrictions to promote its (perceived) domestic interests, a predictable policy is far superior to a volatile one, as it avoids the unnecessary and large collateral damage to FDI inflows.

16. India's Resilience Depends on Diversified Trade

Author: Shekhar Aiyar **Published:** Sep 3, 2026 **Link:** [View Original](#)

NEW DELHI—Indian Prime Minister Narendra Modi's participation in the recently concluded Shanghai Cooperation Council meeting in Kyrgyzstan was about more than regional security; he also used the forum to push for deeper trade links between member states. This is only the latest example of India's proactive pursuit of trade diplomacy. Last year's free trade agreement (FTA) with the United Kingdom was followed this January by the "mother of all deals," a wide-ranging agreement with the European Union. And high-level trade talks continue with the United States, building on a joint statement of intent issued in February.

But the backdrop to this big push is fraught, to put it mildly. US President Donald Trump's sweeping and erratic tariffs are only the latest body blow to the international trading system. The World Trade Organization's Appellate Body, which adjudicates trade disputes between member states, has been decapitated since 2019. Countries are increasingly viewing trade and investment through a national security lens. The rules-based multilateral trade order that the Asian Tigers and China relied on to pursue export-led development has effectively collapsed, with no evident successor in sight. As Antonio Gramsci put it at another moment of profound global upheaval, this is "the time of monsters."

How might a middle power like India anchor its trade strategy in such a tumultuous period? The nascent field of geoeconomics offers some useful guidance.

Consider the concept of "geopolitical distance." Political scientists at Georgetown University have compiled a database measuring the gap between countries at any given point in time, based on voting patterns at the United Nations General Assembly. Research has shown that geopolitical distance is becoming increasingly important in determining patterns of international economic engagement. Bilateral trade, foreign direct investment and cross-border financial claims fall sharply with geopolitical distance.

This trend raises the prospect of a segmented world economy, with export markets shrinking for most countries. While such "geoeconomic fragmentation" is still limited compared to, say, the Cold War era, the trajectory is worrying. A review of several recent papers suggests that a full decoupling of the global economy into rival blocs could reduce global GDP by up to 7% in the long term. The burden would fall disproportionately on emerging and developing economies, which stand to benefit the most from external market access, unrestricted foreign direct investment, and technology transfers.

In this landscape, the best strategy for a middle power is likely to be diversification: building a network of trade relationships sufficiently dispersed so that no single bilateral rupture could cause catastrophic harm. The obvious analogy is to modern portfolio theory: a well-diversified investor is not betting on any particular asset but rather seeking insulation against the failure of a subset of assets. Here, the relevant measure is the standard deviation of a country's trade-weighted geopolitical distance from all trade partners.

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By this metric, India is rather well placed. It ranks among the top quartile of countries for export diversification across the geopolitical spectrum, and near the median for import diversification. Its trade relationships range from the US and Europe to Russia and the Gulf, with many Asian and African economies in between. It has conspicuously refused to be corralled into a single bloc: abstaining from Ukraine-related votes at the UN and deepening the Quad partnership, while

also playing a foundational role in the BRICS group and negotiating deals with both the US and the EU. Such strategic diversification is enormously valuable in a fragmenting world.

Indian policymakers should draw several lessons from these findings. First, to leverage its enviable spread of partners, India must trade much more than it does today. While the country's current trade-to-GDP ratio of about 45% marks considerable progress from the near-autarky of the pre-liberalization era, it remains well below the levels achieved by successful East and Southeast Asian economies.

The recent string of FTAs is an excellent start, but more could be done to develop regional trade by joining major agreements such as the Comprehensive and Progressive Agreement for Trans-Pacific Partnership. Closer to home, trade links among the economies of South Asia remain much weaker than those among comparable groups such as the Association of Southeast Asian Nations. To take one example, they could be strengthened by expanding cross-border energy markets: abundant hydropower from neighbors such as Nepal and Bhutan could reduce India's dependence on fossil-fuel imports.

Next, India should participate in plurilateral deals struck among various subsets of WTO members seeking to deepen trade in a specific area. The Columbia University economist Jagdish Bhagwati famously argued that plurilateral agreements impede first-best multilateral progress, but that argument is irrelevant when the WTO has not made any multilateral progress on lowering trade barriers since the Doha Development Round commenced in 2001. Consider the plurilateral agreement on e-commerce now being implemented by 66 members, covering 70% of global trade. As a large net-exporter of digital services, India should not only sign on, but also seek a leading role in the coalition.

Finally, India should zealously safeguard the diversification it has already achieved, which in turn makes it an attractive partner for countries forging a "China Plus One" strategy or, increasingly, seeking to reduce trade dependence on the US. That means being wary about any bilateral agreement that curtails its freedom of action vis-à-vis third countries. Canada has set an example by walking away from trade negotiations with the Trump administration in part because the US sought veto power over its engagement with other countries.

Of course, Canada is overwhelmingly dependent on the US as an export market, so it is unclear whether its principled stand will succeed. For India, well-diversified to begin with, the case is more clear-cut. A country that has spent decades cultivating strategic autonomy should think long and hard before trading it away for preferential market access, however attractive the terms. India must lean into its position as one of the few countries to combine economic scale, democratic legitimacy, and geopolitical breadth to boost trade and remain open to all comers.